Independent Proposal & Contract Analysis

TIER 1 — SNAPSHOT REVIEW

Based on a fictional proposal for illustrative purposes only.

Prepared For	Michael & Sarah Torres
Property	1847 Sunridge Court, Temecula, CA 92592
Proposal Reviewed	SunPath Energy Solutions — SPE-2026-04471
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Executive Summary

This report reviews the solar financing proposal presented to Michael and Sarah Torres by SunPath Energy Solutions for an 8.4 kW system at 1847 Sunridge Court. The proposal is structured as a 25-year, $0-down loan with a stated 4.99% APR and an initial payment of $187 per month — but that payment is not fixed for the life of the loan. A clause in Section 4 increases the payment by 2.9% every year, which nearly doubles the monthly cost by the final years of the term and adds tens of thousands of dollars to the total amount repaid. Two additional terms are worth understanding before signing: the included monitoring service ends at year 10, fifteen years before the loan is scheduled to be paid off, and the microinverter warranty (12 years) expires 13 years before the panel warranty and loan term both conclude.

Key Pricing and Payment Terms

Down Payment	$0
Starting Monthly Payment	**$187.00**
Stated APR	4.99%
Loan Term	25 years (300 monthly payments)
System Cash Price (stated)	$29,850.00

In plain terms: $187 is only the starting payment, not a fixed monthly cost. If the payment never changed, 300 payments of $187 would total $56,100 over 25 years. But because of the escalator clause described below, the actual total paid is closer to $80,700 — about $24,600 (44%) more than a flat payment schedule would produce.

There's also a discrepancy worth asking about directly. A standard fixed-rate installment loan for the stated $29,850 system price at 4.99% APR over 25 years would typically compute to a level payment of roughly $174 per month — not $187. The fact that the proposed starting payment is already higher than a plain amortization would suggest, combined with an annual increase on top of it, indicates this payment schedule may not follow standard level-payment loan math. It's reasonable to ask the lender to walk through exactly how the $187 figure was calculated and how principal is paid down over time.

Red Flags and Unusual Clauses

1. The 2.9% Annual Escalator (Section 4)

Section 4 states that the monthly payment automatically increases by 2.9% every year for the full 25-year term — regardless of utility rates, system performance, or actual savings realized. This is a fixed cost increase built into the loan itself, not a pass-through of any real-world expense.

What this means in dollars: the payment starts at $187/month in Year 1, rises to approximately $192/month in Year 2, reaches roughly $264/month by Year 13, and climbs to approximately $371/month by Year 25 — essentially double the starting payment by the time the loan is paid off.

Over the full term, this escalator adds an estimated $24,600 to the total amount repaid compared to a flat $187 payment for 25 years ($80,700 total versus $56,100 total, a 44% increase).

Worth noting: fixed-APR installment loans typically carry a level payment for the life of the loan. An annually increasing payment layered on top of a stated APR is not standard loan structure, and is the single term in this proposal most worth clarifying before signing.

2. Monitoring Service Ends at Year 10 (Section 7)

SunPath's managed monitoring service — the layer that watches for underperformance and proactively alerts the homeowner — is included for the first 10 years only. The loan runs for 25 years, meaning there are 15 remaining years of payments during which no proactive monitoring is included.

After year 10, checking system performance becomes the homeowner's responsibility via the manufacturer's app. This is also worth connecting to the production guarantee: if a shortfall occurs after year 10, it's unclear how a claim would be verified without SunPath's own monitoring data feeding that process.

3. Inverter Warranty Gap vs. Panel Warranty and Loan Term

The solar panels carry a 25-year warranty, matching the 25-year loan term. The microinverters, however, carry only a 12-year warranty — meaning for the final 13 years of the loan, the component most likely to need repair or replacement (microinverters are electronic parts with more failure points than panels) is no longer under manufacturer coverage.

In practical terms: if a microinverter fails in year 15, the homeowner would be responsible for that repair cost out of pocket, while still making an escalated loan payment on a system that may not be fully producing.

Industry Context

4.99% APR is within, and toward the lower end of, the typical range for solar loans, which commonly run from roughly 4% to 9% depending on lender, credit profile, and dealer fee structure. On its own, the stated rate is not unusual.

An annually escalating payment is a different story. Escalator clauses are common in solar leases and power purchase agreements (PPAs), where the homeowner doesn't own the system and the payment is tied to the value of energy produced. They are unusual in solar loans, where the homeowner owns the system outright and a fixed, level payment is the market norm. Seeing an escalator inside a product described as a "loan" is atypical enough that it warrants direct clarification from the lender.

A 10-year cutoff on included monitoring is on the shorter end of what's offered industry-wide — some providers include monitoring for the life of the system, others charge for it from year one. A 10-year window on a 25-year obligation isn't unheard of, but it is less generous than many competing offers.

The gap between a 25-year panel warranty and a 12-year microinverter warranty is fairly common across the industry; many microinverter warranties run anywhere from 10 to 25 years depending on brand and tier. This particular gap isn't unusual by itself, but it's still meaningful given that the loan term matches the longer panel warranty rather than the shorter inverter warranty.

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